

the market has grown is objective, but there is a degree of subjectivity involved in deciding whether stock market valuations or interest rates are high. It is important not to fall into the trap of using market timing to make these decisions.

For an example of a market-based approach, I will use a simple rule that is similar to how the life insurance industry describes the use of cash value life insurance and how Barry and Steven Sacks decide when to draw from a reverse mortgage line of credit. That is, if the stock market produced a negative return in the previous year, then the bond ladder is not extended in the current year. If the stock market produced a positive return in the previous year, then the ladder is extended back to the full targeted length when there are sufficient assets in the growth portfolio to achieve this. For example, if the target ladder length is ten years, then two years of negative returns would reduce the ladder length to eight years. If a positive return is experienced in the third year, then the ladder is extended by three years to account for that year's spending and the two years that the ladder was not extended, in order to get back to the desired ten-year target length. If the growth portfolio depletes, the ladder is no longer extended, and retirement income ends once the ladder is wound down.

Exhibit 7.16 provides the outcome for the market-based rolling ladder for the same Monte Carlo simulation used previously. In this case, we can see that until year twenty-one, there are cases where the ladder length is allowed to decrease after years of negative stock returns. This slows down the pace of the reduction in stock allocation. However, the growth portfolio also depletes in this scenario in year twenty-one. Then the bond ladder begins to wind down, and assets are fully depleted by year thirty. This market-based ladder provides slightly less total spending than could have been achieved with the fixed 60.8/39.2 asset allocation total-returns portfolio, since less of the year thirty spending goal can be met. But compared to a total-returns portfolio that used the same dynamic asset allocation as this market-based strategy as observed in the exhibit, the bond ladder version did perform slightly better. The total-returns version with matching asset allocation could have only supported the same income into year twenty-nine.

Exhibit 7.16

One Simulation for a Market-Based 10-Year Rolling Ladder